

Slashing condition. The mechanism that triggers a *slashing*. An example of a slashing condition is when undercollateralization triggers a liquidation.

Smart contract. A contract activated when it receives ETH, or *gas*. Given the distributed nature of the *Ethereum blockchain*, the program runs on every *node*. A feature of the *Ethereum blockchain*, the main blockchain for *DeFi* applications.

Specie. Metallic currency such as gold or silver (or nickel and copper) that has value on its own (i.e., if melted and sold as a metal).

Stablecoin. A token tied to the value of an asset such as the U.S. dollar. A stablecoin can be collateralized with physical assets (e.g., U.S. dollar in USDC) or digital assets (e.g., DAI) or can be uncollateralized (e.g., AMPL and ESD).

Staked incentive. A token balance custodied in a *smart contract* whose purpose is to influence user behavior. A staking reward is designed to encourage positive behavior by giving the user a bonus in their token balance based on the stake size. A staking penalty (*slashing*) is designed to discourage negative behavior by removing a portion of a user's token balance based on the stake size.

Staking. The escrows of funds in a smart contract by users who are subject to a penalty (*slashed* funds) if they deviate from expected behavior.

Swap. The exchange of one token for another. In *DeFi*, swaps are *atomic* and non-custodial. Funds can be custodied